

# **AKD CAPITAL LIMITED**

## **CONDENSED INTERIM FINANCIAL STATEMENTS**

**FOR THE SIX-MONTH PERIOD ENDED  
31 DECEMBER 2019**



**DIRECTORS' REPORT**

The Board of Directors of AKD Capital Limited is pleased to presents un-audited half yearly financial statements for the six months ended 31 December 2019.

During the period the company registered a loss after tax of Rupees 3.234 million. Operating results for the half year are not favorable as compared to the net loss (Rupees 0.369 million) after tax during the same period of last year. The reason for the Loss is due to recognized the allowance for expected credit loss during the period, which is the part of General & Administrative expenses. Management is pursuing to recover trade debts and hopeful to receive it in due course of time to enable to explore other avenues to ensure profitability in future.

The Board of Directors also appreciated shareholders for their continued support.

For and on behalf of the Board

  
\_\_\_\_\_  
**Chief Executive Officer**

  
\_\_\_\_\_  
**Chairman**

Date: 27<sup>th</sup> February 2020

## **INDEPENDENT AUDITOR'S REVIEW REPORT**

### **To the members of AKD Capital Limited**

### **Report on review of Condensed Interim Financial Statements**

#### **Introduction**

We have reviewed the accompanying condensed interim statement of financial position of AKD Capital LIMITED ("the Company") as at 31 December 2019 and the related condensed interim statement of profit or loss and other comprehensive income, condensed interim statement of changes in equity, condensed interim statement of cash flows and notes to the financial statements for the six-month period then ended (here-in-after referred to as "condensed interim financial statements"). Management is responsible for the preparation and presentation of these interim financial statements in accordance with accounting and reporting standards as applicable in Pakistan for interim financial reporting. Our responsibility is to express a conclusion on these financial statements based on our review. The figures of the condensed interim statement of profit or loss and other comprehensive income for the three-month period ended 31 December 2019 and 31 December 2018 have not been reviewed and we do not express a conclusion on them as we are required to review only the cumulative figures for the six-month period ended 31 December 2019.

#### **Scope of Review**

We conducted our review in accordance with International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A review of interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

#### **Conclusion**

Based on our review, nothing has come to our attention that causes us to believe that the accompanying condensed interim financial statements are not prepared, in all material

# Riaz Ahmad & Company

Chartered Accountants

respects, in accordance with accounting and reporting standards as applicable in Pakistan for interim financial reporting.

The engagement partner on the review resulting in this independent auditor's review report is Muhammad Waqas.

A handwritten signature in blue ink, appearing to read 'Riaz Ahmad & Co.', is written over the printed company name.

**RIAZ AHMAD & COMPANY**  
**Chartered Accountants**

**KARACHI**

**Date: 27 February 2020**

**AKD CAPITAL LIMITED**  
**CONDENSED INTERIM STATEMENT OF FINANCIAL POSITION (UNAUDITED)**  
**AS AT 31 DECEMBER 2019**

|                                                                                                                      |             | Unaudited<br>31 December<br>2019<br>Rupees | Audited<br>30 June<br>2019<br>Rupees |
|----------------------------------------------------------------------------------------------------------------------|-------------|--------------------------------------------|--------------------------------------|
| <b>ASSETS</b>                                                                                                        | <b>Note</b> |                                            |                                      |
| <b>NON-CURRENT ASSETS</b>                                                                                            |             |                                            |                                      |
| Property and equipment                                                                                               | 4           | 1,483,977                                  | 1,576,033                            |
| Long term investments                                                                                                | 5           | 28,031,206                                 | 26,924,940                           |
| Long term deposit                                                                                                    |             | 20,000                                     | 20,000                               |
|                                                                                                                      |             | <u>29,535,183</u>                          | <u>28,520,973</u>                    |
| <b>CURRENT ASSETS</b>                                                                                                |             |                                            |                                      |
| Trade debts - considered good & unsecured                                                                            | 6           | 999,148                                    | 4,497,066                            |
| Advances and prepayments                                                                                             |             | 302,650                                    | 55,000                               |
| Other receivable - considered good & unsecured                                                                       | 7           | 4,433,193                                  | 4,094,173                            |
| Advance income tax                                                                                                   |             | 750,371                                    | 959,585                              |
| Bank balances                                                                                                        |             | 387,713                                    | 1,396,302                            |
|                                                                                                                      |             | <u>6,873,075</u>                           | <u>11,002,126</u>                    |
| <b>TOTAL ASSETS</b>                                                                                                  |             | <u>36,408,258</u>                          | <u>39,523,099</u>                    |
| <b>EQUITY AND LIABILITIES</b>                                                                                        |             |                                            |                                      |
| <b>SHARE CAPITAL AND RESERVES</b>                                                                                    |             |                                            |                                      |
| Authorised share capital<br>50,000,000 (30 June 2019: 50,000,000 ordinary shares of<br>Rupees 10 each)               |             | <u>500,000,000</u>                         | <u>500,000,000</u>                   |
| Issues subscribed and paid up share capital<br>2,507,273 (30 June 2019: 2,507,273) ordinary shares of Rupees 10 each |             | 25,072,733                                 | 25,072,733                           |
| Reserves                                                                                                             |             | <u>6,843,580</u>                           | <u>8,971,557</u>                     |
| <b>TOTAL EQUITY</b>                                                                                                  |             | <u>31,916,313</u>                          | <u>34,044,290</u>                    |
| <b>NON CURRENT LIABILITIES</b>                                                                                       |             |                                            |                                      |
| Deferred taxation                                                                                                    |             | 109,343                                    | 259,231                              |
| <b>CURRENT LIABILITIES</b>                                                                                           |             |                                            |                                      |
| Trade and other payables                                                                                             | 8           | 1,825,640                                  | 2,030,056                            |
| Provision for taxation                                                                                               |             | 80,000                                     | 711,480                              |
| Unclaimed dividend                                                                                                   |             | 2,476,962                                  | 2,478,042                            |
|                                                                                                                      |             | <u>4,382,602</u>                           | <u>5,219,578</u>                     |
| <b>TOTAL LIABILITIES</b>                                                                                             |             | <u>4,491,945</u>                           | <u>5,478,809</u>                     |
| Contingencies and commitments                                                                                        | 9           |                                            |                                      |
| <b>TOTAL EQUITY AND LIABILITIES</b>                                                                                  |             | <u>36,408,258</u>                          | <u>39,523,099</u>                    |

The annexed notes from 01 to 15 form an integral part of these condensed interim financial statements.

  
**CHIEF EXECUTIVE OFFICER**

  
**DIRECTOR**

  
**CHIEF FINANCIAL OFFICER**

**AKD CAPITAL LIMITED**  
**CONDENSED INTERIM STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME**  
**(UNAUDITED)**  
**FOR THE SIX-MONTH PERIOD ENDED 31 DECEMBER 2019**

|                                                                                                              | Note | Six-month period ended |                    | Three-month period ended |                    |
|--------------------------------------------------------------------------------------------------------------|------|------------------------|--------------------|--------------------------|--------------------|
|                                                                                                              |      | 31 December 2019       | 31 December 2018   | 31 December 2019         | 31 December 2018   |
|                                                                                                              |      | Rupees                 | Rupees             | Rupees                   | Rupees             |
| <b>INCOME</b>                                                                                                |      |                        |                    |                          |                    |
| Consultancy income                                                                                           |      | 1,000,000              | 1,500,000          | 1,000,000                | 1,500,000          |
| Dividend income                                                                                              |      | -                      | 543,200            | -                        | 543,200            |
|                                                                                                              |      | <b>1,000,000</b>       | <b>2,043,200</b>   | <b>1,000,000</b>         | <b>2,043,200</b>   |
| <b>EXPENSES</b>                                                                                              |      |                        |                    |                          |                    |
| Administrative and general expenses                                                                          |      | (4,583,664)            | (2,114,958)        | (2,291,832)              | (1,248,362)        |
| (Loss) / profit before taxation                                                                              |      | <b>(3,583,664)</b>     | <b>(71,758)</b>    | <b>(1,291,832)</b>       | <b>794,838</b>     |
| Taxation                                                                                                     |      |                        |                    |                          |                    |
| - Current                                                                                                    |      | (80,000)               | (201,480)          | (80,000)                 | (201,480)          |
| - Prior                                                                                                      |      | 279,533                | (270,000)          | 279,533                  | (270,000)          |
| - Deferred                                                                                                   |      | 149,888                | 174,196            | 149,888                  | 174,196            |
|                                                                                                              |      | <b>349,421</b>         | <b>(297,284)</b>   | <b>349,421</b>           | <b>(297,284)</b>   |
| (Loss) / profit after taxation                                                                               |      | <b>(3,234,243)</b>     | <b>(369,042)</b>   | <b>(942,411)</b>         | <b>497,554</b>     |
| <b>OTHER COMPREHENSIVE INCOME / (LOSS)</b>                                                                   |      |                        |                    |                          |                    |
| <b>Items that will not be reclassified subsequently to profit or loss:</b>                                   |      |                        |                    |                          |                    |
| - Unrealized gain arising on remeasurement of investments at 'fair value through other comprehensive income' |      | 1,106,266              | -                  | -                        | -                  |
| <b>Items that may be reclassified subsequently to profit or loss:</b>                                        |      |                        |                    |                          |                    |
| - Unrealized loss arising on remeasurement of investments at 'available for sale'                            |      | -                      | (1,381,280)        | -                        | (2,871,200)        |
|                                                                                                              |      | <b>1,106,266</b>       | <b>(1,381,280)</b> | <b>-</b>                 | <b>(2,871,200)</b> |
| Total comprehensive loss for the period                                                                      |      | <b>(2,127,977)</b>     | <b>(1,750,322)</b> | <b>(942,411)</b>         | <b>(2,373,646)</b> |
| (Loss) / earnings per share - basic and diluted                                                              | 10   | <b>(1.29)</b>          | <b>(0.15)</b>      | <b>(0.38)</b>            | <b>0.20</b>        |

The annexed notes from 01 to 15 form an integral part of these condensed interim financial statements.

  
**CHIEF EXECUTIVE OFFICER**

  
**DIRECTOR**

  
**CHIEF FINANCIAL OFFICER**

**AKD CAPITAL LIMITED**  
**STATEMENT OF CHANGES IN EQUITY (UNAUDITED)**  
**FOR THE SIX-MONTH PERIOD ENDED 31 DECEMBER 2019**

|                                                                         | Reserves                                        |                  |                                                                  |                                                                                                    |                    |                     |             | Total       |
|-------------------------------------------------------------------------|-------------------------------------------------|------------------|------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|--------------------|---------------------|-------------|-------------|
|                                                                         | Issued,<br>subscribed and<br>paid up<br>capital | Capital Reserves |                                                                  | Revenue Reserves                                                                                   |                    |                     |             |             |
|                                                                         |                                                 | Share<br>premium | Fair value<br>reserve on<br>available for<br>sale<br>investments | Fair value<br>reserve on Fair<br>value through<br>other<br>comprehensive<br>income'<br>investments | General<br>reserve | Accumulated<br>loss | Sub total   |             |
|                                                                         |                                                 |                  |                                                                  |                                                                                                    |                    |                     |             |             |
| Balance as at 30 June 2018 - audited                                    | 25,072,733                                      | 20,891,600       | (282,607)                                                        | -                                                                                                  | 752,000            | (6,934,816)         | 14,426,177  | 39,498,910  |
| Transaction with owners                                                 |                                                 |                  |                                                                  |                                                                                                    |                    |                     |             |             |
| Final dividend for the year ended 30 June 2018<br>@ Rupee 0.5 per share | -                                               | -                | -                                                                | -                                                                                                  | -                  | (1,253,496)         | (1,253,496) | (1,253,496) |
| Adjustment on adoption of IFRS 9                                        | -                                               | -                | 282,607                                                          | (282,607)                                                                                          | -                  | -                   | -           | -           |
| Total comprehensive loss for the period                                 |                                                 |                  |                                                                  |                                                                                                    |                    |                     |             |             |
| Loss for the period                                                     | -                                               | -                | -                                                                | -                                                                                                  | -                  | (369,042)           | (369,042)   | (369,042)   |
| Other comprehensive loss                                                | -                                               | -                | -                                                                | (1,381,280)                                                                                        | -                  | -                   | (1,381,280) | (1,381,280) |
|                                                                         | -                                               | -                | -                                                                | (1,381,280)                                                                                        | -                  | (369,042)           | (1,750,322) | (1,750,322) |
| Balance as at 31 December 2018 - unaudited                              | 25,072,733                                      | 20,891,600       | -                                                                | (1,663,887)                                                                                        | 752,000            | (8,557,354)         | 11,422,359  | 36,495,092  |
| Total comprehensive loss for the period                                 |                                                 |                  |                                                                  |                                                                                                    |                    |                     |             |             |
| Loss for the period                                                     | -                                               | -                | -                                                                | -                                                                                                  | -                  | (2,878,222)         | (2,878,222) | (2,878,222) |
| Other comprehensive income                                              | -                                               | -                | -                                                                | 427,420                                                                                            | -                  | -                   | 427,420     | 427,420     |
|                                                                         | -                                               | -                | -                                                                | 427,420                                                                                            | -                  | (2,878,222)         | (2,450,802) | (2,450,802) |
| Balance as at 30 June 2019 - audited                                    | 25,072,733                                      | 20,891,600       | -                                                                | (1,236,467)                                                                                        | 752,000            | (11,435,576)        | 8,971,557   | 34,044,290  |
| Total comprehensive income for the period                               |                                                 |                  |                                                                  |                                                                                                    |                    |                     |             |             |
| Loss for the period                                                     | -                                               | -                | -                                                                | -                                                                                                  | -                  | (3,234,243)         | (3,234,243) | (3,234,243) |
| Other comprehensive income                                              | -                                               | -                | -                                                                | 1,106,266                                                                                          | -                  | -                   | 1,106,266   | 1,106,266   |
|                                                                         | -                                               | -                | -                                                                | 1,106,266                                                                                          | -                  | (3,234,243)         | (2,127,977) | (2,127,977) |
| Balance as at 31 December 2019 - unaudited                              | 25,072,733                                      | 20,891,600       | -                                                                | (130,201)                                                                                          | 752,000            | (14,669,819)        | 6,843,580   | 31,916,313  |

The annexed notes from 01 to 15 form an integral part of these condensed interim financial statements.

  
**CHIEF EXECUTIVE OFFICER**

  
**DIRECTOR**

  
**CHIEF FINANCIAL OFFICER**

**AKD CAPITAL LIMITED**  
**CONDENSED INTERIM STATEMENT OF CASH FLOWS (UNAUDITED)**  
**FOR THE SIX-MONTH PERIOD ENDED 31 DECEMBER 2019**

|                                                                                           | 31 December<br>2019<br>Rupees | 31 December<br>2018<br>Rupees |
|-------------------------------------------------------------------------------------------|-------------------------------|-------------------------------|
| <b>CASH FLOW FROM OPERATING ACTIVITIES</b>                                                |                               |                               |
| Loss before taxation                                                                      | (3,583,664)                   | (71,758)                      |
| <b>Adjustments for non-cash items:</b>                                                    |                               |                               |
| Depreciation                                                                              | 92,056                        | 106,211                       |
| Allowance for expected credit loss                                                        | 3,066,807                     | -                             |
| <b>Net cash (used in) / flow from operating activities before working capital changes</b> | <b>(424,801)</b>              | <b>34,453</b>                 |
| <b>Changes in working capital</b>                                                         |                               |                               |
| <b>(Increase) / decrease in current assets</b>                                            |                               |                               |
| Trade debts                                                                               | 431,111                       | (1,500,000)                   |
| Advances and prepayments                                                                  | (247,650)                     | (226,887)                     |
| Other receivable                                                                          | (339,020)                     | (20,046)                      |
| <b>Decrease in current liabilities</b>                                                    |                               |                               |
| Trade and other payables                                                                  | (204,416)                     | (590,682)                     |
|                                                                                           | (359,975)                     | (2,337,615)                   |
| <b>Cash used in operations</b>                                                            | (784,776)                     | (2,303,162)                   |
| Income tax paid                                                                           | (222,733)                     | (27,197)                      |
| <b>Net cash used in operating activities</b>                                              | <b>(1,007,509)</b>            | <b>(2,330,359)</b>            |
| <b>CASH FLOW FROM INVESTING ACTIVITIES</b>                                                |                               |                               |
| Additions to property and equipment                                                       | -                             | (61,655)                      |
| <b>Net cash used in investing activities</b>                                              | <b>-</b>                      | <b>(61,655)</b>               |
| <b>CASH FLOW FROM FINANCING ACTIVITIES</b>                                                |                               |                               |
| Dividend paid                                                                             | (1,080)                       | (12,765)                      |
| <b>Net cash used in financing activities</b>                                              | <b>(1,080)</b>                | <b>(12,765)</b>               |
| <b>Net decrease in cash and cash equivalents</b>                                          | <b>(1,008,589)</b>            | <b>(2,404,779)</b>            |
| Cash and cash equivalents at the beginning of the period                                  | 1,396,302                     | 5,335,327                     |
| <b>Cash and cash equivalents at the end of the period</b>                                 | <b>387,713</b>                | <b>2,930,548</b>              |

The annexed notes from 01 to 15 form an integral part of these condensed interim financial statements.

  
**CHIEF EXECUTIVE OFFICER**

  
**DIRECTOR**

  
**CHIEF FINANCIAL OFFICER**

**AKD CAPITAL LIMITED**  
**SELECTED NOTES TO THE CONDENSED INTERIM FINANCIAL STATEMENTS (UNAUDITED)**  
**FOR THE SIX-MONTH PERIOD ENDED 31 DECEMBER 2019**

**1. THE COMPANY AND ITS OPERATIONS**

**1.1** AKD Capital Limited ("the Company") was incorporated as a Public Limited Company in the Year 1936 under Companies Act, 1913 (Now the Companies Act, 2017). Shares of the Company are quoted on the Pakistan Stock Exchange Limited. The Company is engaged in the business of real estate / providing consultancy, projects financing and management, investment in listed securities and to engage in leasing. The registered office of the Company is situated at 416-418, Continental Trade Center, Clifton, Karachi.

**1.2 GOING CONCERN ASSUMPTIONS**

These condensed interim financial statements have reported net loss for the six-month period ended 31 December 2019 amounting to Rupees 3.234 million. The Company's net assets position and other financial indicators depict a healthy financial position as at the reporting date. However, the Company's primary commercial operations i.e. to deal in real estate projects, providing consultancy services, projects financing and management etc remained at halt for some years due to economic conditions prevailing in the Country and other ancillary reasons. This situation indicates the existence of material uncertainty which may cast significant doubt about the Company's ability to continue as a going concern and, therefore, it may be unable to realize its assets and discharge its liabilities in the normal course of business. However, the management is proactively considering new business avenues and looking for different options. The Company has been successful in securing contracts from Construction Venture for provision of consultancy services in recent years. During the preceding years, the Company entered into an agreement of Rupees 20 million against which services are being rendered. During the previous year, the Company has secured further contracts for providing infrastructure consultancy and entered into the agreement of Rupees 15 million. The Company is also exploring other construction projects and business opportunities to enhance its revenues in the coming years. The Company has also invested its surplus funds in a housing scheme Company from which lucrative returns are expected going forward. The sponsor directors and management of the Company are committed to the viable and profitable commercial operations of the Company in the ensuing financial year and, based upon the future financial projections, strongly believe that the Company will continue as a going concern.

These condensed interim financial statements have, therefore, been prepared on going concern basis and do not include any adjustment relating to the realization of its assets and liquidation of any liabilities that might be necessary should the Company be unable to continue as a going concern.

**2. BASIS OF PREPARATION**

**2.1 Statement of Compliance**

These condensed interim financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan for interim financial reporting. The accounting and reporting standards as applicable in Pakistan for interim financial reporting comprise of:

- International Accounting Standard (IAS) 34 "Interim Financial Reporting" issued by the International Accounting Standards Board (IASB) as notified under the Companies Act, 2017;
- Provisions of and directives issued under the Companies Act, 2017.

Where the provisions of and directives issued under the Companies Act, 2017 differ with the requirements of IAS 34, the provisions of and directives issued under the Companies Act, 2017 have been followed.

- 2.1.1** This condensed interim financial statements do not include all the information and disclosures required in annual financial statements and should be read in conjunction with the annual audited financial statements of the Company for the year ended 30 June 2019. These condensed interim financial statements are unaudited, however, have been subjected to limited scope review by the auditors and are being submitted to the shareholders as required by the Listed Companies (Code of Corporate Governance) Regulations, 2019 and Section 237 of the Companies Act, 2017.
- 2.1.3** The comparatives in the condensed interim statement of financial position presented in the condensed interim financial statements as at 31 December 2019 have been extracted from the annual audited financial statements for the year ended 30 June 2019, where as the comparative in condensed interim statement of profit or loss and other comprehensive income, condensed interim statement of changes in equity and condensed interim statement of cash flows are extracted from unaudited condensed interim financial statement for the period ended 31 December 2018.

### **3. ACCOUNTING POLICIES**

The accounting policies and methods of computations adopted for the preparation of these unconsolidated condensed interim financial statements are the same as applied in the preparation of the preceding audited annual published financial statements of the Company for the year ended 30 June 2019.

#### **3.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS**

The preparation of these unconsolidated condensed interim financial statements in conformity with the approved accounting standards requires the use of certain critical accounting estimates. It also requires the management to exercise its judgment in the process of applying the Company's accounting policies. Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

During preparation of these unconsolidated condensed interim financial statements, the significant judgments made by the management in applying the Company's accounting policies and the key sources of estimation and uncertainty were the same as those that applied in the preceding audited annual published financial statements of the Company for the year ended 30 June 2019.

| <b>4. PROPERTY AND EQUIPMENT</b>                         | <b>Note</b> | <b>Unaudited<br/>31 December<br/>2019<br/>Rupees</b> | <b>Audited<br/>30 June<br/>2019<br/>Rupees</b> |
|----------------------------------------------------------|-------------|------------------------------------------------------|------------------------------------------------|
| Written down value at the beginning of the period / year |             | <b>1,576,033</b>                                     | 1,725,258                                      |
| Addition during the period                               |             | -                                                    | 61,655                                         |
| Depreciation charged for the period / year               |             | <b>(92,056)</b>                                      | (210,880)                                      |
| Written down value at the closing of the period / year   |             | <b><u>1,483,977</u></b>                              | <u>1,576,033</u>                               |

**4.1** Depreciation is charged to administrative and general expenses.

## **5. LONG-TERM INVESTMENTS**

### **Equity instruments**

#### **Investment in equity securities - at 'fair value through other comprehensive income'**

##### **Related parties**

AKD REIT Management Company Limited - unquoted

10,000 (30 June 2019: 10,000) fully paid ordinary shares of Rupees 10 each. Equity held 0.1% (30 June 2019: 0.1%) and Cost of Rupees 100,000 (30 June 2019: Rupees 100,000)

5.1 - - -

Creek Developers (Private) Limited - unquoted

9,800 (30 June 2019: 9,800) fully paid ordinary shares of Rupees 10 each. Equity held 0.01% (30 June 2019: 0.01%) and Cost of Rupees 98,000 (30 June 2019: Rupees 98,000)

5.2 **98,000** 98,000

##### **Others**

Javedan Corporation Limited - quoted

921,888 (30 June 2019: 838,080) fully paid ordinary shares of Rupees 10 each. Equity held 0.3% (30 June 2019: 0.3%) and Cost of Rupees 28,063,407 (30 June 2019: Rupees 28,063,407)

**27,933,206** 26,826,940

**28,031,206** 26,924,940

**5.1** - Investment in AKD REIT Management Company Limited has been fully provided in prior years. This Company is required to seek prior approval from Securities & Exchange Commission of Pakistan before disposing of this investments.

**5.2** This represents investments in the ordinary shares of Creek Developers (Private) Limited (CDPL) that is in the process of building towers. CDPL is currently classified as a level 3 financial assets and is measured at fair value on reporting dates. However due to volatility in the underlying assumptions relevant to the valuation, there is a wide range of possible fair value measurement and cost is considered to represent the best estimate of fair value within that range. This Company is required to seek prior approval from Defense Housing Authority before disposing of this investment.

|                                                         |             | Unaudited<br>31 December<br>2019<br>Rupees | Audited<br>30 June<br>2019<br>Rupees |
|---------------------------------------------------------|-------------|--------------------------------------------|--------------------------------------|
| <b>6. TRADE DEBTS - Considered good &amp; unsecured</b> | <b>Note</b> |                                            |                                      |
| <b>Related party:</b>                                   |             |                                            |                                      |
| R.A. Enterprises                                        |             | 7,200,833                                  | 7,631,944                            |
| Less: Allowance for expected credit loss                |             |                                            |                                      |
| As at 01 July                                           |             | 3,134,878                                  | -                                    |
| Recognised during the period / year                     |             | 3,066,807                                  | 3,134,878                            |
| As at 30 June                                           |             | 6,201,685                                  | 3,134,878                            |
|                                                         |             | <u>999,148</u>                             | <u>4,497,066</u>                     |

**6.1** This balance represents the billing made against consultancy services provided in connection with infrastructure designing of the construction project.

**6.4** The maximum aggregate amount receivable from related party at the end of any month during the period was Rupees 7.632 million (30 June 2019: Rupees 7.632 million).

## **7. OTHER RECEIVABLE - Considered good & unsecured**

### **Related parties:**

|                                           |     |                  |                  |
|-------------------------------------------|-----|------------------|------------------|
| Creek Developers (Private) Limited (CDPL) | 7.1 | <u>4,433,193</u> | <u>4,094,173</u> |
|-------------------------------------------|-----|------------------|------------------|

**7.1** This represents the balance receivable of allocated share of common expenses.

**7.2** The maximum aggregate amounts receivable from CDPL at the end of any month during the period were Rupees 4.433 million (30 June 2019: 4.094 million).

## **8. TRADE AND OTHER PAYABLES**

|                                     |     |                  |                  |
|-------------------------------------|-----|------------------|------------------|
| Accrued liabilities                 |     | 767,759          | 1,159,316        |
| Payable to AKD Securities Limited   | 8.1 | 242,511          | 55,118           |
| Withholding tax payable             |     | 319,037          | 319,289          |
| Provision for workers' welfare fund |     | 294,522          | 294,522          |
| Zakat payable                       |     | 201,811          | 201,811          |
|                                     |     | <u>1,825,640</u> | <u>2,030,056</u> |

**8.1** This represents the balance payable against common expenses paid by AKD Securities Limited (an associated company).

## **9. CONTINGENCIES AND COMMITMENTS**

### **9.1 Contingencies**

- a)** The Company has filed a law suit in the Honorable High Court of Sindh against a consortium based in Lahore by sending legal notice unduly involving the name of the Company which is not correct as per Company's records. In response, the said Consortium also filed a counter law suit on the Company in the same court claiming certain consultancy fees from the Company. The management and the legal counsel of the Company are of the view that based on the legal merits, the said law suits will be disposed of without any financial loss to the Company.
- b)** In 2012, an individual filed case in the Honourable High Court of Sindh against Defence Housing Authority (DHA) alleging the land belongs to the previous project and designated as amenity plot and made the Company as pro-forma defendant. Presently, the matter is pending in Honorable High Court of Sindh. The management and its legal counsel are confident that that the Company is not a party to the aforesaid case, therefore, the eventual outcome would be favorable and would not result in any financial loss to the Company.

## 9.2 Commitment

There were no commitments as at the reporting date. (30 June 2019: Nil)

## 10. (LOSS) / EARNINGS PER SHARE - BASIC AND DILUTED

There is no dilutive effect on the basic (loss) / earnings per share of the Company which is based on:

|                                                    | Unaudited              |             | Unaudited                |             |
|----------------------------------------------------|------------------------|-------------|--------------------------|-------------|
|                                                    | Six-Month Period Ended |             | Three-Month Period Ended |             |
|                                                    | 31 December            | 31 December | 31 December              | 31 December |
|                                                    | 2019                   | 2018        | 2019                     | 2018        |
|                                                    | Rupees                 | Rupees      | Rupees                   | Rupees      |
| (Loss) / profit for the period - <b>Rupees</b>     | <b>(3,234,243)</b>     | (369,042)   | <b>(942,411)</b>         | 497,554     |
| Number of ordinary shares in issue - <b>Number</b> | <b>2,507,471</b>       | 2,507,471   | <b>2,507,471</b>         | 2,507,471   |
| (Loss) / earnings per share - <b>Rupees</b>        | <b>(1.29)</b>          | (0.15)      | <b>(0.38)</b>            | 0.20        |

## 11. TRANSACTIONS WITH RELATED PARTIES

The related parties comprise associated undertakings, other related companies and key management personnel. The Company in the normal course of business carries out transactions with various related parties. Detail of transactions with related parties are as follows:

|      | Related party                                                        | Relationship                               | Nature of transaction        | Six-month period ended |                  |
|------|----------------------------------------------------------------------|--------------------------------------------|------------------------------|------------------------|------------------|
|      |                                                                      |                                            |                              | 31 December 2019       | 31 December 2018 |
|      |                                                                      |                                            |                              | Rupees                 | Rupees           |
| i.   | AKD Securities Limited                                               | Common directorship and 2.28% shareholding | Expenses credited            | <b>187,393</b>         | 141,930          |
|      |                                                                      |                                            | Dividend paid                | -                      | 28,645           |
| ii.  | Aqeel Karim Dhedhi Securities (Private) Limited Staff Provident Fund | Other related party                        | Dividend paid                | -                      | 124,500          |
| iii. | Creek Developers (Private) Limited                                   | Common directorship and 0.01% shareholding | Expenses debited             | <b>339,020</b>         | 40,046           |
| iv.  | R.A. Enterprises                                                     | Sponsor's interest                         | Consultancy income           | <b>1,000,000</b>       | 1,500,000        |
|      |                                                                      |                                            | Collection during the period | <b>1,431,111</b>       | -                |

The receivable / payable balances with related parties as at 31 December 2019 are disclosed in the respective notes to the condensed interim financial statements.

## 12. RECOGNIZED FAIR VALUE MEASUREMENTS - FINANCIAL ASSETS

### i. Fair value hierarchy

Judgments and estimates are made in determining the fair values of the financial instruments that are recognized and measured at fair value in these condensed interim financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the Company has classified its financial instruments into the following three levels. An explanation of each level follows underneath the table.

| Recurring fair value measurements at 31 December 2019          | Level 1    | Level 2 | Level 3 | Total      |
|----------------------------------------------------------------|------------|---------|---------|------------|
|                                                                | Rupees     | Rupees  | Rupees  | Rupees     |
| <b>Financial assets</b>                                        |            |         |         |            |
| Investments at 'fair value through other comprehensive income' | 27,933,206 | -       | 98,000  | 28,031,206 |

| Recurring fair value measurements at at 30 June 2019           | Level 1    | Level 2 | Level 3 | Total      |
|----------------------------------------------------------------|------------|---------|---------|------------|
|                                                                | Rupees     | Rupees  | Rupees  | Rupees     |
| <b>Financial assets</b>                                        |            |         |         |            |
| Investments at 'fair value through other comprehensive income' | 26,826,940 | -       | 98,000  | 26,924,940 |

The above table does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amounts are a reasonable approximation of fair value. Due to short term nature, carrying amounts of certain financial assets and financial liabilities are considered to be the same as their fair value. For the majority of the non-current receivables, the fair values are also not significantly different to their carrying amounts.

There were no transfers between levels 1 and 2 for recurring fair value measurements during the six month period ended 31 December 2019. Further there was no transfer in and out of level 3 measurements.

The Company's policy is to recognize transfers into and transfers out of fair value hierarchy levels as at the end of the reporting period.

**Level 1:** The fair value of financial instruments traded in active markets (such as publicly traded derivatives, and trading and available-for-sale securities) is based on quoted market prices at the end of the reporting period. The quoted market price used for financial assets held by the Company is the current bid price. These instruments are included in level 1.

**Level 2:** The fair value of financial instruments that are not traded in an active market (for example, over-the-counter derivatives) is determined using valuation techniques which maximize the use of observable market data and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

**Level 3:** If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity securities.

### ii. Valuation techniques used to determine fair values

Specific valuation techniques used to value financial instruments include the use of quoted market prices or dealer quotes for similar instruments and the fair value of the remaining financial instruments is determined using discounted cash flow analysis.

### 13. RECOGNIZED FAIR VALUE MEASUREMENTS - NON FINANCIAL ASSETS

There were no any non-financial assets as at 31 December 2019 for the recognized fair value measurement.

### 14. DATE OF AUTHORISATION

These condensed interim financial statements were approved and authorised for issue on 27 FEB 2020 by the Board of Directors of the Company.

### 15. GENERAL

- No significant reclassification / rearrangement of the corresponding figures has been made during the period in these condensed interim financial statements.
- Figures have been rounded off to the nearest Rupee.

  
CHIEF EXECUTIVE OFFICER

  
DIRECTOR

  
CHIEF FINANCIAL OFFICER



سرمایہ کاری سمجھداری کے ساتھ